

**ARDSLEY FINANCIAL GROUP**  
**Office of Risk Management**  
**Corbin Tower, Level 19, Los Angeles, California**

---

October 8, 2013

Mr. Roland Ashcombe, AIA  
Principal in Charge  
VAA interiors + architecture  
8420 Hayden Place  
Culver City, California 90232

**Re: Corbin Tower, Level 19 pantry and wellness room — flooring failure**  
**VAA Project 632588 — Ardsley position and notice of no claim**

---

Dear Mr. Ashcombe,

I have completed my review of the 2011 project file in connection with the flooring failure reported to you by Bernard Kilcoyne on September 17, 2013. This letter states Ardsley's position.

**1. The failure.**

Adhered resilient sheet flooring in the Level 19 pantry and wellness room, approximately **2,400 square feet**, has debonded and is lifting at the seams. Ardsley's testing consultant read **94 percent relative humidity** at depth in that area on September 13, 2013. The adhesive has softened and discolored. The mechanism is moisture driven adhesive failure.

**2. The record.**

- (a) VAA specified a two-coat epoxy moisture vapor mitigation system in Section 09 05 61 for Levels 12 through 19, with an acceptance threshold of 85 percent relative humidity.
- (b) In-situ testing by Callenbach Materials Testing on February 8, 2011 returned 92.1 to 96.4 percent relative humidity across fourteen probes.
- (c) VAA recommended against deleting the system by letter dated **April 6, 2011**, and predicted adhesive breakdown, loss of bond and lifting of the floor covering within eight to fifteen years.
- (d) Ardsley directed the deletion in writing on **May 17, 2011**, under the signature of Dana Truscott, accepting a credit of \$347,900 and 18 calendar days, expressly recording that the deletion was owner-directed and made over VAA's written recommendation, expressly recording Ardsley's reliance on the assessment of Prewitt Building Science dated March 9, 2011, and expressly accepting responsibility for future flooring performance issues arising from slab moisture.
- (e) VAA issued ASI-031 on **May 19, 2011** on that written direction, carrying the owner-direction language on the face of the instrument.

**3. Ardsley's position.**

The Level 19 pantry failure is a flooring performance issue arising from slab moisture on Levels 12 through 19. It falls squarely within the responsibility Ardsley accepted on May 17, 2011.

**Ardsley is funding the remediation in the amount of \$88,400** and is **making no claim against VAA interiors + architecture** in connection with it. Our contractor mobilizes October 21, 2013. Scope is removal of the existing assembly, application of an epoxy moisture vapor barrier to the affected area, and reinstallation of the resilient sheet flooring.

**4. A note for the file.**

I would rather write this letter once than twice, so I will also record the obvious. If the pantry is doing this at year two, the rest of Levels 12 through 19 will do it eventually. That is our exposure, not yours, and it is on the record as ours.

Sincerely,

*Marcus Threadgill*

Marcus Threadgill  
Risk Manager  
Ardsley Financial Group

cc: Dana Truscott, Director of Corporate Real Estate  
Bernard Kilcoyne, Facilities Manager  
Ardsley risk file 2013-0417